KATHMANDU CAPITAL

Jan 11, 2026

Dear Partners,

In the fourth quarter of 2025, the fund generated a return of 13.65% gross of fees and 10.85% net of fees, compared to 2.33% for the S&P 500 Total Return Index and 3.29% for our MSCI ACWI Total Return benchmark. For the full year 2025, the fund generated a return of 52.04% gross and 45.60% net of fees, significantly outperforming the S&P 500's 16.26% and the MSCI ACWI's 22.34%. Since inception, the fund has realized a return of 40.85% gross and 28.84% net of fees, versus 52.99% for the S&P 500 and 53.65% for the MSCI ACWI Total Return benchmark.

Please refer to your individual investor statements for an accurate view of your return, as investor returns may vary by class and the timing of your investment.

Time Period	Kathmandu (Gross*)	Kathmandu (Net*)	S&P 500 (SPXTR*)	MSCI ACWI (ACWI TR*)
2023	**0.41%**	**-0.62%**	**6.99%**	**7.36%**
3rd Quarter (Inception)	7.56%	6.46%	-3.79%	-3.64%
4th Quarter	-6.65%	-6.65%	11.20%	11.03%
2024	**-7.73%**	**-10.95%**	**22.99%**	**17.49%**
1st Quarter	21.42%	17.80%	10.09%	8.20%
2nd Quarter	0.13%	-0.40%	3.85%	2.87%
3rd Quarter	-14.99%	-14.99%	5.48%	6.61%
4th Quarter	-10.72%	-10.72%	1.99%	-0.99%
2025	**52.04%**	**45.60%**	**16.26%**	**22.34%**
1st Quarter	-1.72%	-1.72%	-4.62%	-1.32%
2nd Quarter	17.22%	16.64%	10.56%	11.52%
3rd Quarter	16.14%	14.58%	7.74%	7.62%
4th Quarter	13.65%	10.85%	2.33%	3.29%
Since Inception	**40.85%**	**28.84%**	**52.99%**	**53.65%**

*Data provided by NAV Consulting, TR = total return index

The market experienced notable volatility over the past quarter yet ultimately finished near another record high to end the year. We exited several positions as they either reached our target prices or experienced structural fundamental changes, and initiated new investments aligned with the ongoing "China vs. U.S. tension" theme. While we expect this narrative to remain a key driver in 2026, we hold precious metals and hedge positions to protect the portfolio against inflation and potential economic setbacks.

Market Commentary

Market concerns about the AI capex cycle intensified this past quarter, beginning with Oracle reporting results that fell short of expectations. This led to a period of heightened volatility, which later stabilized as the Fed lowered interest rates and expanded its balance sheet, while Japan raised interest rates to draw capital back to the U.S. markets.

Looking ahead to 2026, we expect the "U.S. vs China" race to remain the dominant theme. China still lacks the ability to design and manufacture leading-edge, high-performance chips at the level of the U.S. and its allies. Meanwhile, the U.S. continues to face bottlenecks in domestic manufacture capacity for key components and supply of critical materials, alongside slower-than-needed progress in energy infrastructure build-out and grid upgrade. National security has also become a central focus for both nations. Against this backdrop, technology velocity and government policy execution will decide the leader in this race. We will continue to monitor the development closely and search for opportunities with our eyes wide open.

Portfolio Update

We ended the quarter with approximately 35 percent in gold and cash.

Cyclical/Secular Gainers

The Tension Basket

We continue to add ideas to our tension basket to capture opportunities arising from the U.S. vs. China theme. At year-end, our holdings included Vicor (*VICR.NASDAQ*), whose industry-leading power solutions are poised to benefit from data center architecture's transition to HVDC yet remain under-covered and misunderstood; ACM Research (*ACMR.NASDAQ*), China's leading wafer-fab cleaning equipment manufacturer, positioned to benefit from China's push toward semiconductor self-sufficiency; Lumentum (*LITE.NASDAQ*), a market leader in optical and photonic products whose OCS and optics solutions are positioned to benefit from strong TPU demand and continued XPU evolution; and two Taiwanese companies, including a semiconductor cooling solution provider and a high-precision PCB drilling solution provider. We also added Huntington Ingalls (*HII.NYSE*) to capture the need for increased shipbuilding as defense becomes another key battleground between the rivals and government spending focuses on naval readiness.

Vicor (VICR.NASDAQ)

Over the past quarter, we added Vicor, a leading U.S. designer and manufacturer of high-performance power modules, as a core position. Vicor is positioned to benefit from rising AI-driven power requirements and the transition toward HVDC architectures. Despite this, Vicor remains a misunderstood small-cap company with limited Wall Street coverage. We believe company guidance and street consensus are way too conservative and Vicor is a multi-bagger set to capture a multi-year tailwind.

Vicor is the gold standard in "last-inch" 48V-to-sub-1V vertical power delivery, enabling high-current conversion near the XPU to minimize I^2R losses, heat, and EMI while sustaining high efficiency. Vicor's differentiated architecture and industry-leading technology have enabled long-standing relationships with key AI players. In the second half of 2025, Vicor has completed qualification for a lead customer's next-generation platform, which we believe to be Nvidia, and we believe Google is likely to follow suit, along with two additional tier-one OEMs, as management has disclosed. We believe Vicor is on the cusp of adding more customers as the industry leader in the last mile HVDC power delivery. These programs represent discrete, multi-year revenue opportunities that have yet to be reflected in consensus expectations.

Beyond revenue upside, Vicor offers meaningful margin expansion opportunity. Historically, the company's hardware business has generated 40–50% gross margins. As the newly ramped facility comes online, we expect hardware margins post vertical integration to move materially higher, as the capacity is purpose-built for high-end applications like AI and aerospace. Additionally, Vicor is actively scaling its IP licensing business, which has already reached a meaningful run rate despite monetizing only a narrow, largely legacy subset of its patent portfolio and engaging with a limited number of large customers. Management is guiding toward a $200 million annual licensing run rate by 2027 to 2028, which we view as conservative given the depth of unmonetized IP (multi-billion-dollar TAM) and early traction ($90M annual run rate as of 3Q:25). We believe the licensing business, combined with vertical integration and next-generation high-end hardware products, will meaningfully shift the revenue mix and position Vicor for significant margin expansion.

Taken together, customer wins, expanded production capacity, and IP monetization make Vicor's long-term targets of $1B in revenue and 65% corporate margins appear conservative. With street consensus still well below these targets, we see a meaningful delta between market expectations and underlying fundamentals. As the thesis plays out and earnings scale, we believe Vicor presents a compelling Davis Double Play.

Closing

We would like to thank our partners for another year of support. While we had a solid year and our stock selection appears directionally correct so far, we believe our execution could have been better as we became more comfortable investing in momentum driven AI-related businesses in the second half of the year.

Our goal as investors has always been, and always will be, to become the best investors and partners we can be to honor our fiduciary duty. To achieve this, we will continue to evolve by refining our approach and adding new tools to our investment toolkit, rather than confining ourselves to a well-defined style box.

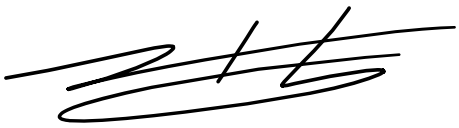
As we move away from investing solely through a traditional contrarian value lens and integrate a more holistic approach that places greater emphasis on market sentiment and the inevitability of long-term technological development, some may view this as a deviation from traditional value investing, but we see it as a natural progression of value thinking in the post Munger and Buffett era, especially in today's market environment.

We are mindful of the momentum-driven nature of some of our holdings and expect higher portfolio turnover. As such, we will implement tighter stops and more disciplined risk management accordingly. Ultimately, our goal is to blend these disciplines and thrive across all market conditions as we explore whether growth, momentum, and value can coexist in a way that works.

This may mean we will not attract certain types of institutional clients, as most institutions prefer to select managers based on rigid style boxes. However, we believe that investing is more art than science. Howard Marks once said that in order to be great, one must be willing to be different. We dare to be great and will let that principle guide us. We intend to walk a path that cannot be easily imitated by others, whether human or artificial—our own path.

We appreciate your trust as you grow alongside us and witness our growth as investors.

Sincerely,



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